

Duration-Matched Muni Sleeve — Tearsheet

As of June 22, 2026 · CA top-bracket (50.25% combined; Treasury fed+NIIT 40.8%, CA-exempt)

A direct CA-muni ladder built to 7.5-yr duration — matched to Vanguard CA Long-Term (VCLAX) and the 7yr Treasury — to isolate yield at equal rate-risk.

Bottom line — after-tax yield at ~7.5yr duration

Instrument	Pre-tax	After-tax	TEY (taxable-equiv)	vs Treasury
📌 This sleeve (dur 7.50y)	3.87%	3.87%	7.77%	+1.30 pp
📌 Vanguard VCLAX (dur ~7.5y)	3.60%	3.60%	7.24%	+1.03 pp
📌 7yr US Treasury	4.34%	2.57%	4.34% (taxable)	—

- **Paid to not take Treasuries: +1.30 pp/yr after tax** — but pre-tax the sleeve yields -0.47 pp vs the UST; the pickup is the **tax shield** (the UST loses 1.77 pp to federal tax), not a credit premium.
- **Edge over the Vanguard fund: +0.27 pp/yr after-tax (= +0.54 pp in TEY / taxable-equivalent terms)** — fee + structure + odd-lot yield the fund can't capture. Survives duration-matching (the cash-blended version was a tie).
- **Break-even federal rate** (UST catches the sleeve): ~11%. You're at 40.8%.

Holdings

wt	CUSIP	Name	type	cpn	mat	dur	YTM	AT-yld	DD status
22.7%	27677SCM3	Eastern MWD Water Rev	WATER-REV	4.00	2034-07	6.68	3.98%	3.98%	tax+pledge verified; DSCR via book sister 27677SCN1 (2.9x)
22.7%	778389FS0	Ross Valley SD GO	SCHOOL-GO	4.00	2035-08	7.45	3.95%	3.95%	tax+pledge verified; school-GO credit/fire/zone pending
22.7%	764507DT3	Richmond Wastewater Rev	WATER-REV	4.00	2035-08	7.48	3.71%	3.71%	tax+pledge verified; DSCR+supply underwrite pending
22.7%	95942THD2	W. Riverside Water Rev	WATER-REV	4.00	2035-09	7.57	3.66%	3.66%	tax+pledge verified; DSCR+supply underwrite pending
3.1%	926055KH6	Victor Valley Union HS GO	SCHOOL-GO	4.00	2037-08	8.76	4.00%	4.00%	DD-CONFIRMED (book)
3.1%	050002AW4	Atwater Elementary GO	SCHOOL-GO	5.00	2040-05	9.86	4.91%	4.91%	DD-CONFIRMED (book)

wt	CUSIP	Name	type	cpn	mat	dur	YTM	AT-yld	DD status
3.1%	91412HJC8	UC Regents Gen Rev	UNIV-REV	4.00	2039- 05	9.96	3.95%	3.95%	DD-CONFIRMED (book)

Sleeve: 91% short verified leg / 9% long book leg · weighted dur 7.50y · after-tax 3.87% · TEY 7.77%

Diligence status & caveats

- **Tax status:** all holdings **VERIFIED tax-exempt via EMMA** (browser; requests path was 403-throttled). None federally taxable.
- **Pledge: VERIFIED** — 1 school GO, 3 water/wastewater revenue, plus book leg (2 school GO + UC general-revenue). Dropped 80802VCB7 (pledge resolved OTHER) and all COP/redevelopment/JPA-authority names the raw yield screen surfaced.
- **Credit underwrite PENDING on 2 new water names** (Richmond Wastewater, W. Riverside Water): DSCR + first-principles supply not yet pulled (EMMA OS-doc fetch throttled). Eastern MWD covered by book sister (DSCR 2.9x); Ross Valley SD GO needs the school credit/fire/zone gauntlet. **Not yet promote-ready.**
- **Concentration:** short leg is 75% water revenue — diversify with more short school-GO before sizing up.
- Treasury curve: Fed H.15 2026-06-18 (7y 4.34%). VCLAX SEC yield 3.60%. Matched on duration; maturity-match shifts long end a few bp.
- **The Treasury pickup is a bet on staying in a high CA+federal bracket**, not on the bonds.